

26CV00231 Joann Olejnik v. City of Santa Barbara, et al

County: santa-barbara

Division: Civil Law & Motion

Department: 3 SB-Anacapa

Hearing date: 2026-08-12

Motion: Motion to Compel Further Deposition of Person Most Knowledgeable

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Tentative Ruling: Joann Olejnik v. City of Santa Barbara, et al

Case Number

26CV00231

Case Type

Civil Law & Motion

Hearing Date / Time

Wed, 08/12/2026 - 10:00

Nature of Proceedings

Motion to Compel Further Deposition of Person Most Knowledgeable

Tentative Ruling

For Plaintiff and Petitioner Joann Olejnik: James F. Scafide, Figueroa Law Group, LLP

For Defendants and Respondents City of Santa Barbara, City Council of the City of Santa Barbara, and Rebecca Bjork: John S. Doimas, Tom R. Shapiro, Delaney R. Satz, Stephen P. Wiley, Office of the City Attorney

RULING

For the reasons stated herein, the motion of Plaintiff to compel further deposition of person most knowledgeable is continued to December 9, 2026. To the extent Plaintiff's motion is not withdrawn or corrected, Plaintiff shall, on or before November 25, 2026, file and serve a supplemental brief or declaration addressing the quoted material appearing in Plaintiff's motion as described herein.

Unless Plaintiff's motion is withdrawn or appropriately corrected within 21 days of service of the Court's ruling herein, Plaintiff's counsel, James F. Scafide, shall appear on December 9, 2026, at 10:00 a.m. in this Department, and show cause why monetary sanctions not to exceed \$1,500 should not be imposed against them for violating subdivision (b)(1) and (2) of Code of Civil Procedure section 128.7 as described in this ruling. On or before November 25, 2026, counsel for Plaintiff shall file and serve their written response to the Court's order to show cause.

On or before August 14, 2026, Defendant and respondent the City of Santa Barbara shall serve, and file proof of service of, notice of the Court's ruling herein.

The Pretrial Conference Date of 1/20/27 at 11:30 am with trial to start on 1/21/27 and the MSC date of 12/18/26 at 8:30 am in #5 and the final CMC date of 9/23/26 are re-confirmed. All discovery must be scheduled to accommodate the Trial Date. This is a Court trial. The original complaint was filed 1/6/26. The trial date was confirmed on 5/20/26 and 7 Court trial dates have been reserved as requested by Plaintiff. It is important litigation and should be resolved in the time frame set. Plaintiff contends this is a taxpayer action that seeks to reform the City of Santa Barbara's violation of their own charter and state law.

Background

The second amended verified complaint (SAC) of Plaintiff and petitioner Joann Olejnik (Plaintiff) is the operative pleading. Plaintiff asserts in the SAC, that they own property located at 18 W. Victoria Street, Unit 202 (the Property) in Santa Barbara, California, and that they bring this taxpayer action "to dismantle a systemic, multi-generational, and coercive municipal scheme[]" pursuant to which, for over a decade, the City of Santa Barbara (the City) "has bypassed the mandatory legislative process of its own Charter to impose '90-year rolling' restrictive covenants that function as perpetual restraints on the alienation of real property, and that are predicated on fictitious 'phantom math' regarding housing costs and are enforced through a system of 'digital blockades' designed to coerce homeowners into surrendering their equity and constitutional privacy rights." (SAC, ¶¶ 1-2.)

Plaintiff further alleges that, between the time she was deemed a "Qualified Purchaser" of the Property and the scheduled close of escrow, the City unilaterally and without legislative authorization changed the terms of the Alma del Pueblo project's affordability requirements by intentionally delaying the closing of the units for the express purpose of ensuring that a 90-year "rolling" reset was inserted into the deeds in place of the previously established fixed-term restrictions. (SAC, ¶ 10.) Plaintiff was forced into a "take-it-or-leave-it" position at the eleventh hour, where the City utilized the threat of a failed escrow to coerce her into accepting a restraint on alienability. (Ibid.)

The City also purportedly utilized a "phantom" HOA assumption" of \$483 per month when, in reality, Plaintiff's actual documented fees were over \$800 at purchase and are now \$1,045.27 per month. (SAC, ¶¶ 13-14.) By ignoring actual costs, the City has forced Plaintiff into a housing cost burden that is 'per se' unaffordable and violates state law. (SAC, ¶ 13.) In addition, Plaintiff alleges, the City utilizes an internal database to place "digital flags" on title such that when an owner attempts to sell or refinance, the City refuses to release those holds unless the owner executes a new 90-year rolling covenant. (SAC, ¶ 18.)

The "rolling" reset together with a covenant which forbids Plaintiff from holding any interest in any other residential real estate have rendered the Property unmortgageable. (SAC, ¶¶ 15-17.) Because no lender would accept a title that resets its encumbrance duration upon sale, Plaintiff was coerced into liquidating her personal car and jewelry to provide a 40 percent cash down payment. (SAC, ¶¶ 1 & 17.)

Plaintiff filed their SAC against the City, the City Council of the City (the City Council), Rebecca Bjork (Bjork), and the County of Santa Barbara (the County) on April 15, 2026. The SAC asserts six causes of action: (1) declaratory relief; (2) quiet title; (3) writ of mandate; (4) taxpayer injunction; (5) violation of the Tom Bane Civil Rights Act (Civ. Code, § 52.1); and (5) violation of Title 42 United States Code section 1983.

On May 19, the City, the City Council, and Bjork filed an answer to the SAC, responding to its allegations and asserting sixteen affirmative defenses.

On May 21, Plaintiff filed errata to correct typographic errors in the SAC.

On June 8, the Court entered an order pursuant to a stipulation by the parties to dismiss the County from the action without prejudice.

On May 6, Plaintiff filed a motion for an order compelling the City to produce a person most knowledgeable or “PMK” to testify to matters 1 through 6 of Plaintiff’s deposition notice; compelling the immediate production of documents responsive to category 5 of the request for production contained in that notice; and imposing issue and monetary sanctions against the City.

In support of the motion, Plaintiff submits a declaration of their counsel, James F. Scafide (attorney Scafide), which shows that on March 31, 2026, Plaintiff served on the City a “Notice of Deposition of [the City’s] [PMK] And Request for Production of Documents”. (Scafide Dec., ¶ 3 & exhibit A.) On April 23, 2026, Plaintiff served a revised “Notice of Deposition of [the City’s] [PMK] and Request for Production of Documents” (the PMK Notice). (Scafide Dec., ¶ 4 & exhibit B.)

On April 30, 2026, the City produced employee Maria Schroeder (Schroeder) as its designated PMK for topics relating to the City’s affordable housing programs and policies. (Scafide Dec., ¶ 5.) Attorney Stephen Wiley (attorney Wiley) appeared at the deposition on behalf of the City and provided documents purportedly responsive to categories 1 through 4 of the PMK Notice, but did not provide any responsive documents to category 5 because, according to attorney Wiley, “[w]e felt them to be duplicative of 1-4.” (Scafide Dec., ¶ 6.) Attorney Wiley did not seek a protective order or object to the request. (Ibid.)

Attorney Scafide further asserts that, during the deposition, Schroeder was unable to testify to several matters including the specific ordinance required by Section 518 of the Charter of the City of Santa Barbara (the Charter) to authorize 90-year rolling covenants (matters 1 and 3); the factual or legal basis for the “Rolling Reset” policy (matter 2); or the history of form templates used to encumber Plaintiff’s property (matter 6). (Scafide Dec., ¶ 7.) Attorney Scafide suspended the deposition “upon realizing the witness was functionally incompetent to testify on five of the six noticed matters.” (Scafide Dec., ¶ 12.)

On April 30, 2026, attorney Scafide sent a letter to attorney Wiley regarding the alleged discovery failures, in which attorney Scafide set a deadline of 12:00 noon on May 1, 2026, for a satisfactory response. (Scafide Dec., ¶ 8 & exhibit C.) Attorney Scafide asserts that the letter specifically identified the failures of the City, which include the City’s purported failure to educate Schroeder about required ordinances, the “Rolling Reset” policy, state law conflicts, or form template history; the City’s unilateral refusal to produce documents; and authentication issues in regard to Schroeder admitting that she did not know what was in the documents produced because they were summaries prepared by the City’s attorney. (Scafide Dec., ¶ 9(A), (B), (C).)

Attorney Scafide states that on May 1, 2026, the City responded to attorney Scafide’s April 30, 2026, letter, and refused to designate a new PMK or to provide further testimony. (Scafide Dec., ¶ 10 & exhibit D.)

The City opposes the motion.

Analysis

“Any party may obtain discovery within the scope delimited by Chapter 2 (commencing with Section 2017.010), and subject to the restrictions set forth in Chapter 5 (commencing with Section 2019.010), by taking in California the oral deposition of any person, including any party to the action. The person deposed may be a natural person, an organization such as a public or private corporation, a partnership, an association, or a governmental agency.” (Code Civ. Proc., § 2025.010.) “The service

of a deposition notice under Section 2025.240 is effective to require any deponent who is a party to the action or an officer, director, managing agent, or employee of a party to attend and to testify, as well as to produce any document, electronically stored information, or tangible thing for inspection and copying." (Code Civ. Proc., § 2025.280, subd. (a).)

To demonstrate that the City produced in response to the PMK Notice, a witness who was not the most qualified or knowledgeable to testify on its behalf as to the matters on which the examination was requested, the Scafide declaration and memorandum contains quoted material without citing to, or submitting a copy of, the source of that material. In its opposition to the motion, the City presents information and evidence that raises a factual dispute as to the accuracy of that quoted material. For these and all further reasons discussed below, there exists some question as to whether the quoted material appearing in Plaintiff's motion is accurately attributed to its source, and whether the factual contentions advanced in that motion have evidentiary support.

For example, the motion states that, when asked about why there were no documents prepared for "Category 5" of the PMK Notice, attorney Wiley responded: ""We determined the category to be redundant and so did not respond to it." (Memorandum at p. 4, ll. 13-15.) The motion and the Scafide declaration also state, with reference to quoted language, that Schroeder admitted on the record that she had "no idea" what was in the documents produced at the deposition because they were prepared by the City Attorney's office, and said that she only know about "monitoring" the 90-year rolling covenants. (Id. at ll. 19-24; see also Scafide Dec., ¶9(C).)

The motion further contends that Schroeder stated she was unfamiliar with the Health and Safety Code because she believed they dealt with "health" matters. (Memorandum at p. 5, ll. 1-2.) Schroeder also purportedly admitted that she was instructed not to look past 2021, and was unaware that her department was governed by the Health and Safety Code. (Memorandum at p. 9, ll. 16-17, & p. 10, ll. 17-18.)

The examples provided above are intended to be illustrative but not exhaustive. By citing or referencing quoted material or language in the Scafide declaration and supporting memorandum, the motion effectively concedes that material is relevant to the determination of whether the City discharged its duty to produce the person most knowledgeable in its employment. Because that quoted material or language is not followed by appropriate references citations to the source of that material, and as the motion does not include copies of any source material for the Court's review, the matters set forth in the Scafide declaration and supporting memorandum "are not evidence and cannot provide the basis for the granting of the motion." (Smith, Smith & Kring v. Superior Court (Oliver) (1997) 60 Cal.App.4th 573, 578.)

Under the circumstances present here, the Court will continue the motion to permit Plaintiff an opportunity to submit a supplemental brief or declaration that describes, as to each quoted language or material appearing and referenced in the motion, the source of that quoted material, and includes citations or references to the page and line number where that quoted language or material appears. The Court also expects that, where necessary, Plaintiff will include copies of the source material for the Court's review.

The motion also raises some questions as to whether the claims and legal contentions advanced by Plaintiff are warranted by existing law.

For example, the memorandum includes a contention that the decision in *Saldana v. Globe-Weis Systems Co.* (1991) 233 Cal.App.3d 1505, 1511-1512 (*Saldana*), establishes that "the deponent is not a mere individual; they are the 'mouthpiece' of the entity. The deponent has an affirmative duty to inform themselves by reviewing all information available to the corporation, including documents, records, and interviews with other employees or former staff." (Memorandum at p. 7, ll. 19-23.)

Saldana involved an appeal from a grant of summary judgment which the Fifth Appellate District affirmed. (*Saldana*, supra, 233 Cal.App.3d at pp. 1510, 1520.) The language quoted in the motion ("mouthpiece") does not appear in *Saldana*. In addition, though *Saldana* includes a discussion by the appellate Court of a deposition relied on by the Defendant in that action, that case does not, as the motion contends, include any discussion of the affirmative duties of the deponent. (See *Saldana*, supra, 233 Cal.App.3d at p. 1517.)

The motion also contends that in *Great American Ins. Co v. Superior Court* (2009) 178 Cal.App.4th 221, 239 (*Great American*), "the Court held that a PMK witness who is not prepared to testify to the 'collective knowledge' of the entity is a functional non-appearance." (Memorandum at p. 7, ll. 24-26.) The language quoted in the motion ("collective knowledge") does not appear in that case, which involved a petition "for a writ of mandate directing the trial Court to vacate [a] stay order." (*Great American*, supra, 178 Cal.App.4th at p. 233.) The decision in *Great American* also does not appear to include the holding described in the motion.

"By presenting to the Court, whether by signing, filing, submitting, or later advocating, a pleading, petition, written notice of motion, or other similar paper, an attorney or unrepresented party is certifying that to the best of the person's knowledge, information, and belief, formed after an inquiry reasonable under the circumstances, all of the following conditions are met:

"(1) It is not being presented primarily for an improper purpose, such as to harass or to cause unnecessary delay or needless increase in the cost of litigation.

"(2) The claims, defenses, and other legal contentions therein are warranted by existing law or by a nonfrivolous argument for the extension, modification, or reversal of existing law or the establishment of new law.

"(3) The allegations and other factual contentions have evidentiary support or, if specifically so identified, are likely to have evidentiary support after a reasonable opportunity for further investigation or discovery.

"(4) The denials of factual contentions are warranted on the evidence or, if specifically so identified, are reasonably based on a lack of information or belief.

"(c) If, after notice and a reasonable opportunity to respond, the Court determines that subdivision (b) has been violated, the Court may, subject to the conditions stated below, impose an appropriate sanction upon the attorneys, law firms, or parties that have violated subdivision (b) or are responsible for the violation. In determining what sanctions, if any, should be ordered, the Court shall consider whether a party seeking sanctions has exercised due diligence." (Code Civ. Proc., § 128.7, subd. (b), (c).)

For all reasons discussed above, the claims and legal contentions advanced in the moving papers submitted in support of Plaintiff's motion and described above are not warranted by the decisions in *Saldana* and *Great American*. For these and all further reasons discussed above, it appears that attorney Scafide, who signed the notice and motion presented to the Court, has violated subdivision (b) of Code of Civil Procedure section 128.7. (Code Civ. Proc., § 128.7, subd. (b).)

In their reply, Plaintiff "acknowledges that *Saldana* does not support the material the moving papers claim it supports", and "that *Great American* does not support the claim that the designation and appearance of an unprepared PMK is a functional non-appearance." (Reply at p. 8, ll. 5-6 & 15-17.) Wholly absent from that reply is any information explaining why the motion cites *Saldana* or *Great American* as support for the legal contentions or arguments described above and in the motion.

Under the circumstances present here, unless the motion is withdrawn or appropriately corrected within 21 days of service of the Court's order herein, the Court will order Plaintiff's counsel, attorney James F. Scafide, to appear and explain the spurious matters described herein and to show cause why monetary sanctions not to exceed \$1,500 should not be imposed against them for violating subdivision (b)(1) and (2) of section 128.7. (Code Civ. Proc., § 128.7, subd. (b).) The hearing on this order to show cause shall be set for December 9, 2026, at 10:00 a.m. in this Department. On or before November 25, 2026, Plaintiff's counsel shall file and serve a written response to the Court's order herein.

To the extent Plaintiff files papers appropriately correcting the motion including the contentions further discussed above, or withdraws the motion, any such papers or notice of any such withdrawal must be filed and served within 21 days of service of the Court's order to show cause. (Code Civ. Proc., § 128.7, subd. (c)(2).) If those papers also appropriately and sufficiently

correct the issues discussed above in regard to the quoted material appearing in the motion, the Court will not require Plaintiff to file and serve the supplemental brief or declaration described above. Opposition to any papers that may be filed by Plaintiff to correct the motion, and any reply, must be filed and served within the time prescribed in Code of Civil Procedure section 1005.

Judges

Judge Thomas Anderle

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